Over subscription

3. Saranya Ltd. issued 20,000 equity shares of ₹ 10 each to the public at par. The details of the amount payable on the shares are as follows:

On application	₹ 3 per share
On allotment	₹ 4 per share
On first and final call	₹ 3 per share

Application money was received on 30,000 shares. Excess application money was refunded immediately. Pass journal entries to record the above.

4. Gaja Ltd issued 40,000 equity shares of ₹ 10 each to the public payable ₹ 2 on application, ₹ 5 on allotment and ₹ 3 on first and final call. Applications were received for 50,000 shares. The Directors decided to allot 40,000 shares on pro rata basis and surplus of application money was utilised for allotment. Pass journal entries assuming that the amounts due were received.

5. Lalitha Ltd. offered 30,000 equity shares of ₹ 10 each to the public payable ₹ 2 per share on application, ₹ 3 on share allotment and the balance when required. Applications for 50,000 shares were received on which the directors allotted as:

Applicants for 10,000 shares	- Full
Applicants for 35,000 shares	- 20,000 shares (excess money will be utilised for allotment)
Applicants for 5,000 shares	- Nil

All the money due was received. Pass journal entries upto the receipt of allotment.

Calls in advance

6. Anjali Flour Ltd. with a registered capital of ₹ 4,00,000 in equity shares of ₹ 10 each, issued 30,000 of such shares; payable ₹ 2 per share on application, ₹ 5 per share on allotment and ₹ 3 share on first call. The issue was duly subscribed.

All the money payable was duly received but on allotment, one shareholder paid the entire balance on his holding of 500 shares. Give journal entries to record the transactions.

Calls in arrear

7. Muthu Ltd. issued 50,000 equity shares of ₹ 10 each payable as follows;
₹ 2 on application; ₹ 4 on allotment; ₹ 4 on first and final call.
All money were duly received except one shareholder holding 1,000 shares failed to pay the call money. Pass the necessary journal entries for calls by using calls in arrear account.

(Answer: Calls in arrear: ₹ 4,000)

Forfeiture of Shares

8. Arjun was holding 1,000 equity shares of ₹ 10 each of Vanavil Electronics Ltd, issued at par. He paid ₹ 3 on application, ₹ 4 on allotment but could not pay the first and final call of

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